GOLD | GC=F

Desk note: weekly update

30 October 2026 close

Prices: COMEX gold futures, USD/oz

CLOSE	WEEK	MODEL VOL	1-WEEK 90% RANGE	FROM PEAK
3,899	**-2.7%**	**21.3%**	**3,717-4,095**	**-26.7%**
Fri 30 Oct	from 4,008	last week 20.0%	to 06 Nov	5,318 on 29 Jan 2026

Bottom line. Gold fell 2.7% on the week to **3,899**, a new 2026 low and the lowest close since October 2025. The Fed held rates on 28 Oct, but two officials voted for a hike, and September PCE inflation came in hot; with oil above $100, markets now price a December hike. Friday's -3.3% was 2.7x a typical day and the worst since 28 Sep. Even so, the close sits at the **15th percentile** of last week's forecast, inside the 90% range. Next: whether $3,800 holds and whether hike pricing survives the jobs data.

The week

Date	Close	Day	What happened
Fri 23 Oct	4,008		Last forecast
Mon 26 Oct	4,038	+0.8%	Small rebound after the previous week's drop
Tue 27 Oct	4,075	+0.9%	Bounce ahead of the Fed
Wed 28 Oct	4,052	-0.6%	Fed holds at 3.75-4.00% in a 10-2 vote; Cook and Hammack dissent for a hike
Thu 29 Oct	4,031	-0.5%	September PCE hot: headline +0.5% m/m, 3.6% y/y (per press reports)
Fri 30 Oct	3,899	-3.3%	One-year low; silver below $50; oil above $104; tech selloff with forced selling

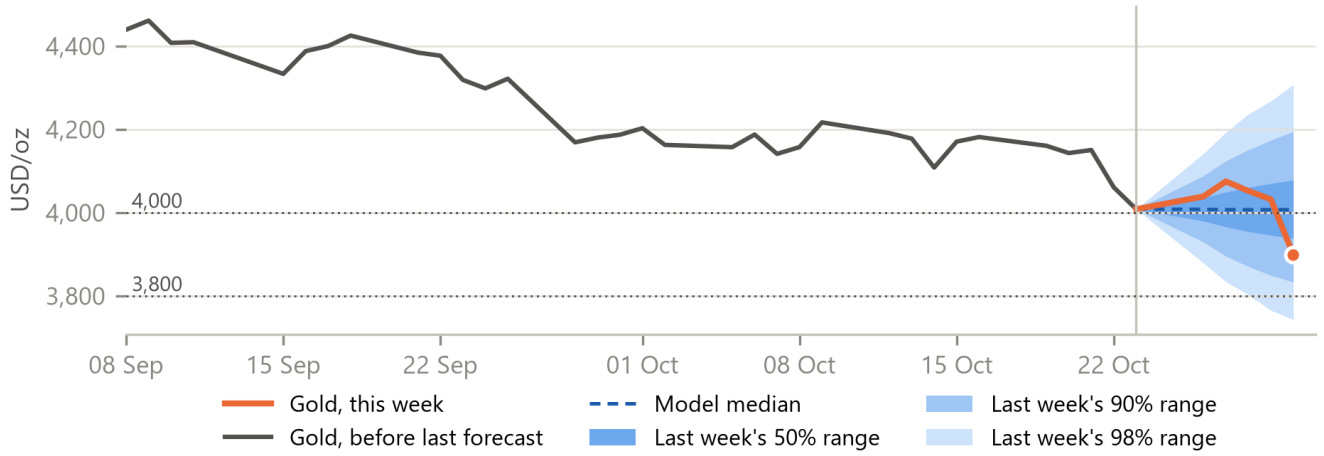
Cross-asset: 23 Oct to 30 Oct

Market	23 Oct	30 Oct	Change	Read
Gold	4,008	3,899	-2.7%	New 2026 low, below $4,000 on a closing basis
Silver	53.71	49.10	-8.6%	Below $50; fell harder than gold
WTI crude	103.27	104.12	+0.8%	Above $100: the inflation channel
US 10Y yield	4.99%	4.93%	-6 bp	Lower: long rates do not explain the drop
Dollar index	101.8	101.9	+0.1%	Flat: the dollar is not the driver
S&P 500	7,624	7,580	-0.6%	Tech-led selloff on Friday
VIX	19.4	19.4	-0.2%	Risk-off
Dec hike odds		~85%		Priced after the 28 Oct Fed meeting (CME FedWatch, per press)

What drove it

- **Fed turned more hawkish:** the 28 Oct hold came with two dissents in favour of a hike. Futures price about an 85% chance of a December hike. Chair Warsh also flagged fewer policy meetings per year.
- **Inflation confirmed the oil story:** September PCE rose 0.5% m/m, the most since March (3.6% y/y). Oil stays above $100 on the Iran conflict, which feeds the higher-for-longer rate view that weighs on non-yielding gold.
- **Not a rates-and-dollar trade:** the 10-year yield fell and the dollar was flat while gold, silver and equities sold off together. Hike pricing sits in short rates; the selling looks like inflation-scare liquidation. Commerzbank also points to margin-call selling during the tech rout.
- **Bottom call:** CPM Group expects a low within days of 30 Oct, but says a decisive break below $3,800 would invalidate that call.

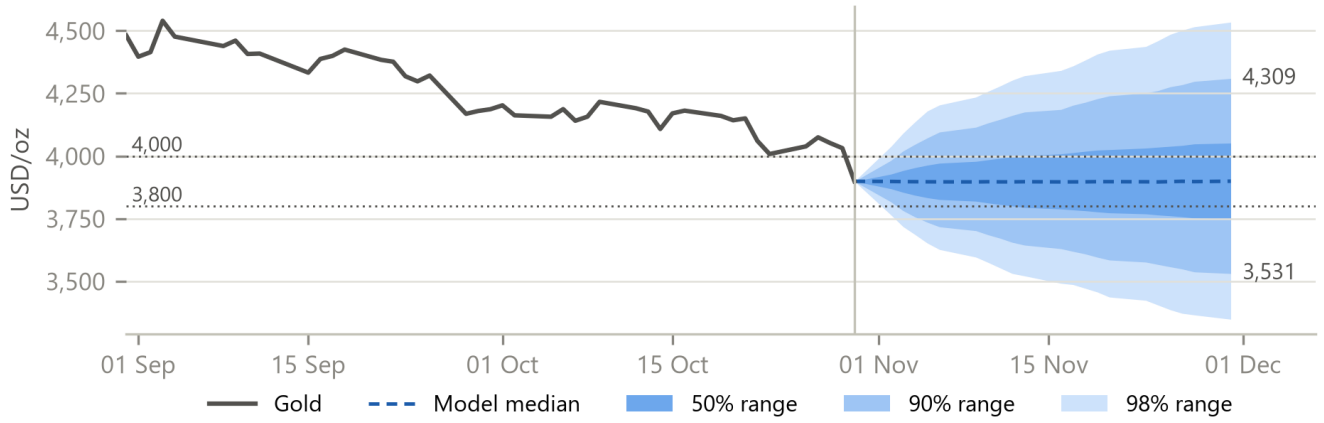
Scorecard: last week's ranges vs what happened



Check	Last week's model	Realised	Verdict
Close on 30 Oct	90% range 3,833 to 4,194	3,899 (15% percentile)	**Inside, near the edge**
Biggest daily drop	typical day 1.26%	-3.29% on Fri 30 Oct (2.7x typical)	**Tail day**
Direction	none (no drift)	down	**Not forecast**

Ranges from here

Refitted on all closes to 30 Oct. Model volatility is **21.3%** annualised (long-run level 20.8%). In **56%** of simulated paths gold trades below $3,800 at some point in the next month. In **55%** of simulated paths gold trades above $4,000 at some point in the next month.



Horizon	Ends	5%	25%	Median	75%	95%	90% move
1 week	06 Nov	3,717	3,826	3,897	3,971	4,095	-4.7% / +5.0%
2 weeks	13 Nov	3,644	3,795	3,897	4,001	4,175	-6.5% / +7.1%
1 month	30 Nov	3,531	3,749	3,899	4,051	4,309	-9.4% / +10.5%

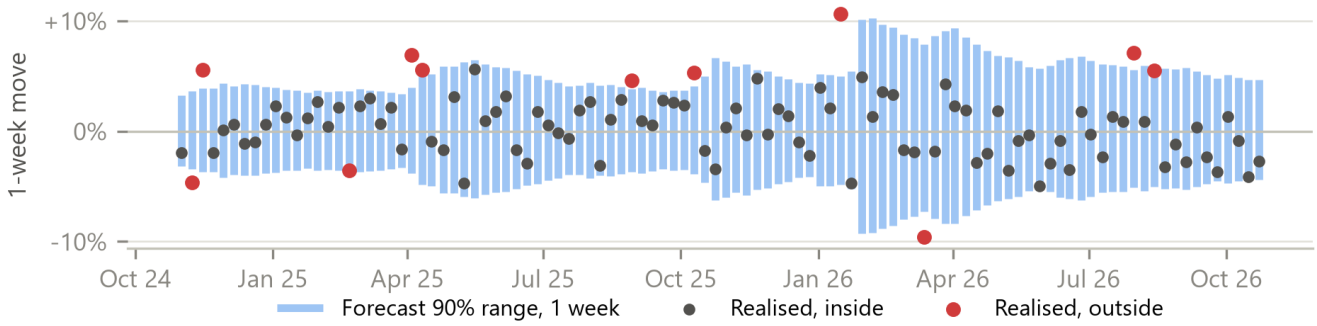
Percentiles of the simulated close, USD/oz.

Watch list

Date, level or event	Why it matters
Tue 3 Nov: US midterm elections	Political risk event; can move the dollar and yields
Fri 6 Nov: October jobs report	A weak print would cut December hike odds, which supports gold
Oil above $100	The main channel from the Iran conflict to rates and gold
$3,800	CPM Group's line for its bottom call
$4,000	Broken support, now the first level to reclaim

Track record

Every weekly forecast since Jan 2006 is scored against what followed: 1,087 forecasts, of which 1 made live. A calibrated model lands 90% of closes inside its 90% range, 5% below and 5% above.



Window	Horizon	Forecasts	Inside 90%	Below 5%	Above 95%	Kupiec p
All history	5 days	1,086	90%	5%	5%	0.71
All history	21 days	1,082	90%	2%	8%	0.78
Last 52 weeks	5 days	51	92%	2%	6%	0.60
Last 52 weeks	21 days	47	85%	4%	11%	0.29

Kupiec p below 0.05 means the hit rate differs significantly from 90%. 21-day windows overlap week to week, so their p-values are too optimistic.

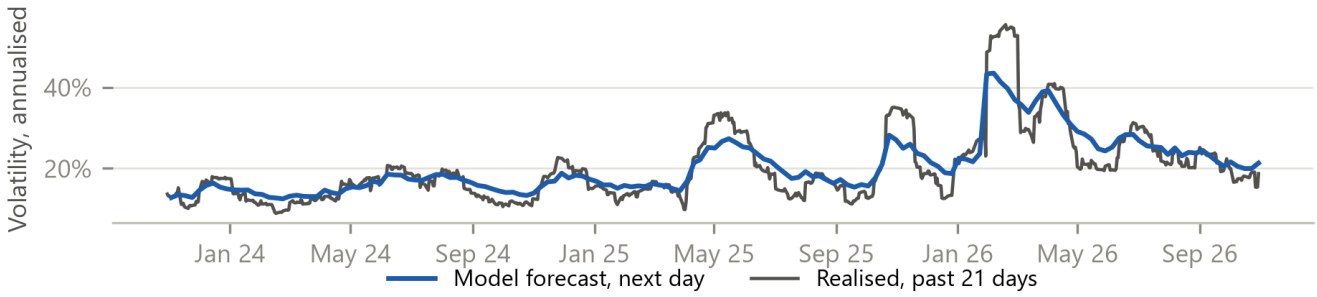
Drift check (shadow test)

The model runs without drift. Each week it re-tests a drift of half gold's long-run average return, using only data up to each forecast date. Verdict: **Keep zero drift**.

Horizon	Forecasts	Score with drift	p-value	2006-15	2016-26	Misses below / above: zero	with drift
5 days	1,086	-0.5%	0.002	-0.5%	-0.4%	5% / 5%	5% / 4%
21 days	1,082	-1.1%	0.064	-0.8%	-1.4%	2% / 8%	3% / 7%

Score: average quantile loss vs zero drift; negative is better. The drift goes in only if it improves the 1-month score with p < 0.05, in both halves of the sample, without worsening the 1-week score.

Model update



Parameter	This week	Last week	What it means
Volatility, next day	21.3%	20.0%	Annualised; drives the width of all ranges
Shock weight (alpha)	0.036	0.036	How much a single day's move lifts tomorrow's volatility
Memory (beta)	0.960	0.959	Half-life of a volatility shock: 157 trading days
Tail thickness (df)	4.8	4.8	Lower means fatter tails; normal is infinite

Method and sources

GARCH(1,1) with Student-t shocks and no drift, refitted every week on all daily COMEX gold futures (GC=F) closes since 2003; 20,000 simulated paths starting from the next-day variance. The model sizes moves; it does not forecast direction. Futures trade about $20-40 above spot. Backfilled forecasts use only data up to their own date, but today's data vintage. News: CNBC, CNN, Bloomberg, Kitco, USAGold, Yahoo Finance, Discovery Alert. Data: Yahoo Finance.